8.4.1. Objectives of WTO

The basic aim is to expand international trade and bring about economic prosperity by liberalizing trade restrictions.

i) To ensure reduction of tariff and other barriers.

ii) To eliminate discrimination in trade.

iii) To facilitate higher standard of living.

iv) To facilitate optimal use of world's resources.

v) To enable the LDCs to secure fair share in the growth of international trade.

vi) To ensure linkages between trade policies, environmental policies and sustainable development.

WTO Agreements

Agreement on Trade Related Intellectual Property Rights (TRIPs)



Intellectual Property Rights include copy right, trade marks, patents, geographical indications, trade secrets, industrial designs, etc. TRIPS Agreement provides for granting product patents instead of process patents. The period of protection will be 20 years for patents, 50 years for copy rights, 7 years for trade marks and 10 years for layout designs. As a result of TRIPS, the dependence of LDCs on advanced countries for seeds, drugs, fertilizers and pesticides has increased. Farmers are depending on the industrial firm for their seeds.



The establishment of the WTO's TRIPS (trade-related aspects of intellectual property rights) Agreement in 1995 changed the face of international intellectual property (IP) law and policy-making. TRIPS negotiators recognized that short comings and inconsistencies in IP protection can distort trade and impede its benefits. The TRIPS Agreement helps ease trade tensions about IP issues while leaving WTO members ample space to pursue diverse domestic policies.

Agreement on Trade Related Investment Measures (TRIMs)

TRIMs are related to conditions or restrictions in respect of foreign investment in the country. It calls for introducing equal treatment for foreign companies on par with national companies. TRIMs were widely employed by developing countries. Restrictions on foreign investment on following grounds are to be removed.

- No restriction on area of investment.
- No binding on use of local material.
- No mandatory exports.
- No restriction on repatriation of royalty, dividend and interest.
- No trade balancing requirement, i.e. imports not exceeding exports.

General Agreement on Trade in Services (GATS)

GATS is the first multilateral set of rules covering trade in services like banking, insurance, transportation, communication, etc., All member

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